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**“HELLO MADAM, WHAT** is your drop location?” “Koramangala.” Ride cancelled. “Hello madam, cash or online payment?” “Online.” Ride cancelled.

“This is my struggle every day now; spending over an hour having these awkward conversations with at least half-a-dozen drivers before I finally get a cab for my commute,” shares Bengaluru-based IT profes-

fair deal for both. What ensued was a fierce competition between the two giants for every ride and driver, as they outbid each other with discounts and incentives, in a quest to capture the Indian market.

By the middle of 2020, though, months of lockdowns, enforced isolation and deserted streets had delivered the online mobility sector a body blow. In the depths of the pandemic, demand for Ola and Uber’s services plummeted to zero.

Then, just as dramatically, demand came roaring back after travel restrictions were eased. But many things had changed for the duo by then. They had made the long-anticipated pivot to focus on profitability. Many driver-partners did not return to the platforms, and those that did found that their real earnings had shrunk significantly thanks to a steep rise in fuel costs and the 30 per cent commission

from the good old days.

To understand this shift, we need only look at India’s IT capital Bengaluru. Here, according to Tanveer Pasha, President of Ola-Uber Cab Drivers’ Association, the number of cabs has reduced to approximately 40,000-45,000 from the pre-Covid-19 figure of 100,000. Many drivers relinquished their dreams of becoming micro-entrepreneurs and sold their vehicles after business crashed.

The supply crunch led to a significant decline in service quality, with complaints of badly maintained cabs, frequent cancellations, and long waiting times becoming a common occurrence. Plus, ride costs increased by at least 1.5 times, per industry estimates. Together, these factors have pushed the industry into uncharted territory, one that the duopoly has not encountered since it was established.

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## TROUBLE BREWS

**1** The Covid-19-induced slowdown prompted an exodus of drivers, exacerbating supply shortages for Ola and Uber

**2** As service quality declined and ride costs rose, more users turned to autorickshaws and bike taxis

**3** Ola and Uber, meanwhile, have shifted focus to profitability in the cab-hailing business

sional Reshma. If you are a regular user of cab-hailing apps, you are perhaps all too familiar with this.

But things weren’t always like this, at least not before Covid-19. In that idyllic past, the value proposition that Ola and Uber offered driver-partners and customers was clear: seller would meet buyer in a mediated market that promised a

levied by the platforms. And the chorus of disgruntled drivers and customers that had started building before the pandemic reached a crescendo, forcing these two key stakeholders to search for alternatives. That search has opened a gap in a closed field and a wide array of competitors promises to bring the focus back to that value proposition

## ON AUTO PILOT

But first, we must begin at the beginning—that is, with the apps. Ola and Uber saw demand plunge from about 1.5 million rides per day just before the pandemic to zero at its peak. The platforms slashed driver incentives and user discounts, marking their long-awaited shift to profitability. Industry observers